

of Los Angeles, Munger Wheeler raised money by promising to hew closely to Graham's investment precepts. While he was initially a strict Grahamite—buying cigar butts and investing in special situations—differences in his investment philosophy and Graham's were soon apparent. Munger was not as impressed as Buffett with all of Graham's principles, saying, "Ben Graham had blind spots. He had too low an appreciation for the fact that some businesses are worth paying big premiums for."¹⁰ Munger continued to follow Graham's most fundamental teachings—value stocks as a private business owner would, and buy and sell with reference to intrinsic value—but he wasn't interested in Graham's cigar butt stocks. He wasn't interested in bargains for their own sake. Munger thought some businesses were "worth paying up a bit to get in with for a long-term advantage."¹¹ When analyzing an investment, Munger considered both quality and price. "[T]he trick," according to Munger, "is to get more quality than you pay for in price. It's just that simple." It was simple, but it was also revolutionary.

Munger tried to persuade Buffett to move away from Graham's practice of considering the margin of safety in purely quantitative terms, arguing that a high-quality business provided more margin of safety than a purchase price at a discount from liquidation value. Stocks trading at a discount to liquidation value typically owned poor businesses. Munger had strong opinions on low-quality businesses. He had learned how difficult it was to fix up a struggling business as a director of an International Harvester dealership in Bakersfield, California. The dealership, as painful as it had been to administer, had given Munger an important insight into the difference between high- and low-quality businesses. International Harvester consumed capital. Each new machine had to be purchased before it could be sold, tying up capital that sat just sat on the lot. Munger wanted a business that not only grew without soaking up capital, but threw off cash as it did so. What were the qualities of such a business, he wondered. He asked people, "What's the best business you've ever heard of?"¹² As he explored the idea, he saw the limitations to Graham's investment methodology. In Munger's opinion Graham was too conservative. He saw the future "more fraught with hazard than ripe with opportunity,"¹³ which was in stark contrast to Buffett's natural optimism. He expounded to Buffett at length on the virtues of high quality businesses, but found him resistant because of the esteem in which he held Graham. The turning point for Buffett was American Express.

THE AMERICAN EXPRESS CRISIS

In late 1963, American Express was embroiled in the infamous salad-oil fraud perpetrated by a client, commodities trader Anthony "Tino" De Angelis.